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Weekly Gold Wrap

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I. Gold Price Recap

For the week (closing at New York session on Sep 18), COMEX gold futures settled at $4,416.90/oz, up 0.18% week-on-week; COMEX silver futures closed at $66.77/oz, rising 2.43% WoW. Precious metals halted three consecutive weekly losses and traded in a bottom-fishing then rebound pattern. Gold extended losses early in the week and found support near $4,235/oz. A recovery rally emerged after the mid-week FOMC decision, driven mainly by short covering amid falling crude oil prices, while the US Treasury yield and US Dollar Index were not dominant price drivers. Market sentiment kept improving on Friday, leaving the metal to close modestly higher after the weekly pullback-rebound cycle.

Gold traded weak then strong with a bottom-up reversal. Following prior sustained corrections, falling crude oil cooled inflation expectations. Combined with relief from the priced-in Fed rate hike, concentrated short covering triggered a reversal and pushed gold to a mild weekly gain. The rebound was driven primarily by short liquidation, with moderate upward momentum overall.

-At the weekly open, gold extended its downtrend from the August peak. Markets pre-priced Fed hike expectations with bearish trading bias. Crude had yet to correct notably and inflation expectations remained firm, weighing on gold.

-On Tuesday, gold stayed range-bound weak. WTI and Brent crude began gradual declines, easing market inflation concerns. However, traders focused heavily on the upcoming FOMC meeting, leaving bulls sidelined and gold lacking rebound catalysts.

-On Wednesday, the Fed delivered a 25bp rate hike as expected, lifting the fed funds target range to 3.75%-4.00%. Gold dipped briefly post-announcement, yet plunging crude became the core trigger for trend reversal. Sharp oil declines further cooled inflation expectations and scaled back Fed tightening bets. Massive short covering lifted gold from lows and flipped market sentiment. Crude's pullback was the key driver of gold's bounce.

-On Thursday, crude extended losses and continued supporting gold. Short-covering flows persisted and gold edged steadily higher, with bulls temporarily dominating trading. The market traded around falling oil, moderating inflation and stabilized Fed policy expectations; the dollar and Treasury yields were not the main drivers of this recovery.

-On Friday, gold kept rebounding but upward momentum faded without a unilateral surge. It closed slightly higher on the week to end three straight weekly declines. Overall, the rally relied on short covering, so a sustained uptrend remains to be validated.

II. Key Drivers Behind Gold's Volatility

1) U.S. Economic Indicators Drive Sharp Correction in Gold

(1) Major U.S. economic indicators released this week and their impact on gold prices

- **US Sep S&P Global PMI Flash**

Manufacturing PMI flash 48.2, Services PMI flash 51.1. Manufacturing stayed in contraction territory while services remained expansionary. The economy retained resilience with marginal weakening in expansion momentum, showing divergent performance across sectors. The data was not weak enough to dispel Fed concerns over sticky inflation.

- **University of Michigan Consumer Sentiment & Inflation Expectations Final**

Sep Michigan Consumer Sentiment Index final reading 67.4, slightly revised up from flash. 1-year consumer inflation expectations edged down to 3.1%. The modest pullback in near-term inflation expectations alleviated market panic over energy-driven inflation.

(2) Impact on Gold

Sep PMI data demonstrated ongoing US economic resilience and capped gold's rebound space. Lowered Michigan inflation expectations were mildly bullish for precious metals and eased fears of energy-fueled inflation.

2) Monetary Policy & Gold Market Impact

(1) Fed Developments & Official Views

FOMC Meeting:

- The Sep FOMC meeting, the key monetary policy event of Q3, concluded this week. The Fed raised rates by 25bp as scheduled to lift the fed funds range to 3.75%-4.00%. The decision passed unanimously among all 12 voting members, reflecting unified policy stances. This marked the resumption of a rate-hiking cycle after a three-year pause, formally shifting monetary policy back into tightening mode.
- Alongside the statement, the updated SEP and dot plot leaned hawkish, materially revising prior economic and rate projections. The Fed upgraded its 2026 US GDP growth and core inflation forecasts while downgrading unemployment estimates, showing greater recognition of US economic resilience and caution over the pace of inflation decline. The dot plot sharply lifted the year-end rate median; the 2026 fed funds median rose from 3.8% (June) to 4.1%, signaling high odds of one additional hike this year. Some officials even priced in two potential 2026 hikes, reinforcing tightening expectations.
- Fed Chair Walsh maintained a hawkish tone in the post-meeting press conference. He emphasized robust US consumption and spending, stating inflation has yet to show sustained, definitive cooling. Current financial tightening remains insufficient to contain sticky inflation. He explicitly ruled out an early end to the tightening cycle or premature rate cuts, noting policy will adjust dynamically contingent on inflation, employment and growth data while preserving flexibility for further tightening. The remarks erased market hopes of near-term easing.

(2) Market Watch Data

- **Prime Market Terminal Data:**

CME FedWatch Tool: After the Sep hike, market odds of another 25bp hike in December stayed elevated, pricing in likely final rate increases for the year. Rate-cut expectations were pushed substantially further out. Markets now price in a longer high-rate period than previously anticipated, sustaining resilience in long-end Treasury yields and the US Dollar Index.

(3) Impact on Gold Prices

The Sep hike represented a priced-in bearish event. The hawkish dot plot and official remarks

temporarily limited gold's rebound and pressured metals via higher Treasury yields. Nevertheless, crude oil's steep drop after the meeting cooled inflation expectations and offset the Fed's hawkishness, triggering heavy short covering and driving gold's bottom recovery. In summary, the Fed's hawkish stance capped gold upside and prevented a powerful bull breakout. Cooling inflation expectations plus short covering underpinned gold's bottom stabilization, resulting in a typical "bearish event priced in" choppy recovery amid conflicting long/short forces.

3) Yields, USD & Gold Dynamics

(1) Dollar Index Behavior

DXY settled at 99.95 at the US close. The index traded in wide swings: range-bound early in the week, spiking after the FOMC announcement then retreating later. Markets pre-priced Sep FOMC hike expectations early on, keeping the dollar firm. Upon Wednesday's release, the hawkish dot plot lifted DXY to an intraday peak of 100.30. After the decision, crude oil slumped and inflation expectations softened, pulling the dollar lower from highs. The dollar remained strong overall, pressuring gold during the FOMC window before easing alongside falling crude later in the week.

(2) US Treasury Yields & Gold Dynamics

The US Treasury continued its long-dated bond buyback program with a maximum purchase size of USD 6bn for 10-20yr Treasuries, designed to improve long-bond liquidity and curb upward pressure on long-end rates. However, hawkish FOMC signals and resilient US growth expectations overwhelmed the supportive effect, leaving long-end yields elevated.

The 10yr Treasury yield closed at 4.99%. It consolidated early in the week, rose after FOMC then corrected later. Yields briefly climbed to a fresh cycle high post-announcement, before falling as crude declines compressed inflation compensation. Real rates fluctuated with policy bets and crude prices, amplifying precious metals volatility and serving as one of the core drivers of gold pricing this week.

(3) Impact on Gold

The dollar and real Treasury rates swung sharply around the FOMC meeting with alternating bullish/bearish forces. Early-week rate-hike bets lifted the dollar and yields, pushing gold lower. On Wednesday, the hawkish dot plot boosted the dollar and long-end yields and triggered an initial gold dip. Subsequently, falling crude reduced inflation expectations, real rates edged lower and the dollar weakened, enabling gold's bounce from lows. Geopolitics offered intermittent safe-haven support, yet real rates and Fed policy expectations remained the primary market drivers.

4) Geopolitical Tensions & Safe-Haven Demand

(1) Geopolitical Tensions

1) U.S.-Iran geopolitical conflicts in the Middle East

Over the weekend preceding the Sep FOMC meeting, Trump publicly stated he would not rule out large-scale military strikes against Iran. The hawkish comments briefly lifted fears of renewed Middle East conflict at Monday's open. Still, neither side launched fresh large-scale air strikes during the trading week, maintaining a mix of confrontation and conciliatory signals with contained conflict risk. Crude shipping through the Strait of Hormuz operated normally with no blockade. Saudi authorities stated its East-West pipeline, damaged in drone attacks, could restore roughly half its capacity within days. An alternative crude export route via ship-to-ship transfers out of Oman's Suhar port was activated. Markets assessed that odds of an immediate full-scale US-Iran war remained low, so risk premiums for supply disruption faded sharply and crude prices dropped notably.

Geopolitical conflicts carry dual impacts: escalations trigger safe-haven gold buying and lift crude and inflation expectations, forcing the Fed to retain tight policy and pressuring gold in turn. Once supply fears subside and crude falls, safe-haven flows exit, yet softer inflation expectations ease pressure on real rates and indirectly benefit gold. This week, pipeline recovery and low odds of immediate full war quickly erased energy panic. The downward crude effect dominated the withdrawal of safe-haven capital.

2) Progress of the Russia-Ukraine Conflict

Hostilities intensified this week with deeper long-range strikes by both sides. Ukraine deployed large drone swarms targeting Moscow and surrounding areas, while Russia launched coordinated air strikes on Ukraine's military assets, logistics and infrastructure. No fundamental frontline breakthrough occurred; these were retaliatory strikes only, and negotiation hopes faded further. Since the conflict poses no direct threat to global crude supply, market reaction remained muted.

(2) Impact on Gold

Trump's pre-FOMC hawkish remarks on Iran triggered brief safe-haven buying at Monday's open. Escalation in Russia-Ukraine fighting offered mild gold support with limited market traction. Markets judged near-term full-scale US-Iran war unlikely, and Saudi pipeline recovery cut crude risk premiums to push oil lower. Safe-haven capital exited partially, but softer inflation expectations dragged real rates down and supported gold. Geopolitics only generated short-lived impulse moves.

5) Tariff Turmoil Drives Gold Swings

① Tariff & Trade Policy Developments

- **Global tariffs and WTO disputes:** The US Commerce Department issued countervailing duty final rulings on carbon alloy wire rod from Algeria and upheld anti-dumping orders for PVA from China and Japan. These targeted industrial measures affected narrow sectors without disrupting global supply chains. The EU signaled plans to introduce import quotas plus minimum prices for electrical steel; the proposal is pending formal adoption. Routine anti-dumping probes continued without major market swings.
- **US-China tariff dynamics:** Section 301 tariffs remained in force. Trade teams held substantive talks on a reciprocal tariff framework covering USD 30bn goods. The US planned to release the product list around Sep 24; negotiations remain ongoing with no formal tariff changes implemented. No new broad-based tariff hikes or exemptions targeting China were announced this week.
- **US-Canada trade frictions:** The White House issued a memorandum barring Canadian-origin goods from US federal procurement as retaliation against Canada's local-content rules. Expanded US tariffs on Canada, effective Sep 15, stayed in force. Neither side announced fresh tariff escalations nor formal negotiation resumption, putting friction into a post-implementation observation phase. Markets had partially priced in these measures in advance with no major surprise catalysts.
- **New legislation this week:** The Graham Russia-Iran Sanctions Act was signed into law. It authorizes secondary tariffs of up to 100% on third parties importing Russian oil and gas. This trade sanction tool has no immediate tariff implementation but introduces long-term supply uncertainty.

② Impact on Gold Prices

.This week's measures including US federal procurement restrictions on Canada, US industrial CVD/AD rulings, EU industrial protection proposals and the secondary-sanctions bill only triggered transient sentiment shocks with no material macro surprise. Long-run trade fragmentation continues to support

gold, though its near-term impact is weak. The market's main drivers remain US inflation, Fed policy expectations and Treasury yields.

6) Gold Market Observation

1. World Gold Council - You asked, we answered: Why are central banks moving their gold reserves

① Core conclusion

Many central banks have adjusted gold custody locations recently. This is not simply repatriating bullion home. Instead, reserve managers are shifting from pure safety priorities toward globally diversified allocation balancing custody risk, crisis accessibility and market liquidity. Relocation does not signal selling; the global central bank gold-buying trend remains intact.

② DNB Netherlands central bank case (core example)

- Mar–Aug 2026: DNB completed strategic reallocation of 86t gold reserves, announced Sep 2.
- Mechanics: Not a simple transatlantic shipment. Roughly 59t held in New York was sold and replaced with LBMA Good Delivery gold traded in London. Around 27t was physically shipped from North America to DNB's Zeist vault, while a similar tonnage moved from Zeist to London.
- Allocation shift: London vault share rose from 18.1% to 32.1%, surpassing domestic holdings (30.8%) to become DNB's largest single storage location. New York and Ottawa shares each fell to 18.5%.
- Objective: Boost reserve liquidity and tradability and improve readiness for severe crises. DNB does not intend to deploy or sell this gold.

③ Three waves of gold reserve relocation (since 2000)

- Wave 1 (around 2000): Early reassessment of reserve geography. Germany transferred ~930t gold from London to Frankfurt, reviewing official gold distribution before geopolitical risk became the dominant theme.
- Wave 2 (roughly 2011–2019): Sovereign control and public confidence took priority. Venezuela, Germany, Netherlands and Austria repatriated gold to domestic vaults to gain sovereign control and bolster public confidence. Most retained overseas holdings in London/Switzerland to preserve market access. Poland combined repatriation with large gold reserve expansion.
- Wave 3 (current, more complex): Heightened geopolitical uncertainty raised focus on jurisdiction, crisis-time asset access and overseas financial infrastructure risk. Recent operations by France and DNB show the strategy is no longer limited to domestic storage. Central banks rebalance holdings across foreign vaults instead of solely bringing gold home.

> Example: Banque de France sold 129t gold held in New York in 2025–2026 and purchased equivalent bullion within Europe with no physical cross-Atlantic transport.

④ Key findings from the 2026 WGC Central Bank Gold Reserve Survey

- The Bank of England remains the most widely used vault, cited by 57% respondents; 49% hold some gold domestically.
- Past 12 months: 9% increased domestic storage; 10% diversified overseas custody locations.
- Forward plans: 7% intend to raise domestic holdings; 9% plan further diversification of overseas vaults (up from just 2% in the prior survey).

> Trend: Not a universal shift to home storage, but diversification of custody mixing domestic vaults and multiple overseas depositories.

⑤ Critical clarification: Relocation ≠ preparation for sale

Moving gold into major trading hubs such as London improves deployability under extreme stress; it does not mean central banks plan to sell. DNB explicitly stated it did not expect to deploy the gold, only ensuring availability if needed.

Survey: Only 1% of central banks expect lower gold reserves in the next 12 months, while a record 45% plan to increase holdings.

New vault hubs are emerging: Singapore announced vaulting services for foreign central banks and sovereign entities; Hong Kong expands gold clearing, settlement and storage infrastructure, creating more options for sovereign gold storage in future.

⑥ Bottom-line logic

Reserve managers previously focused solely on asset safety. Today they optimize for three objectives: custody risk isolation, crisis-time accessibility and market liquidity. Geographic distribution of gold reserves has become an active component of sovereign reserve management and underpins gold's long-term allocation value.

III. Outlook & Key Catalysts

➢ **Next Week's Focus:**

Sep 22 Mon: US Chicago Fed Manufacturing Index

Sep 23 Tue: US August housing starts & building permits

Sep 24 Wed: EIA crude inventory; US Sep Markit Manufacturing & Services PMI Flash

Sep 25 Thu: US weekly initial jobless claims; US August durable goods orders

Sep 26 Fri: US Sep Michigan Consumer Sentiment Final; US August PCE Price Index (Fed's preferred inflation gauge)

Core market focus：Post-FOMC, attention turns to the PCE index to validate the sustainability of US inflation cooling, which directly shapes market pricing for the Fed's rate path. PMI, housing starts, durable goods orders and jobless claims will cross-verify US economic and labor resilience and drive swings in Treasury yields and the dollar.

Geopolitically, Middle East tensions remain a wildcard; crude volatility will continue transmitting to inflation expectations. On trade, the US is scheduled to release the reciprocal tariff list around Sep 24, posing expectation risks.

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